

170 Michaela Drive — Full-Funnel Analysis & Deal Decision

Alpharetta, GA 30009 · Michaela Woods · Luxury SF · Appraisal File 2026101 (eff. 4/25/2026) integrated

Order follows your saved template exactly: 1 Executive Thesis · 2 Geographic Funnel · 3 City Scorecard · 4 ZIP Rankings · 5 Micro-Neighborhood · 6 Multifamily Strategy · 7 Single-Family Strategy · 8 Development Strategy · 9 Comps · 10 Risks · 11 Final Decision — then Financing Cost Comparison, Development Feasibility Score, the 13 Whys, and deal-specific underwrite *after* the fixed framework, per your rule.

1 Executive Investment Thesis

Alpharetta / ZIP 30009 is investable for luxury single-family flip and infill product because jobs (+2.3% 12-mo), population (+95% since 2000), and income (+87% since 2000) all clear your thresholds while downtown walkability keeps demand deep at the \$2.4-3.0M price point. The subject is a 1-year-old, never-occupied 4,654 sq ft farmhouse whose builder mispriced and mis-finished it — the May 2026 appraisal (Blue Gate Capital, File 2026101) puts it at **\$2,000,000 as-is** and **\$2,800,000 subject to completion of the attached scope**, against your contract basis of \$1.82-1.90M. The deal is an **INVEST — conditional on one number**: the renovation budget the appraiser's \$2.8M is conditioned on. If your \$173K scope is that budget, this is a ~\$364K+ profit flip. If the true scope to \$2.8M is near the appraisal's \$750K builder line items, the deal loses money and must be renegotiated or exited light at ~\$2.4-2.5M. Hold strategies are rejected: appraiser market rent is \$9,000/mo against ~\$12.8K/mo DSCR debt — rent does not scale with value in this pocket.

2 Geographic Funnel

LEVEL	WINNER	REASON	REJECTED ALTERNATIVES
Hemisphere	North America	Deepest capital markets, strongest property rights/financing access, transparent rental data	South America (currency/court risk), Europe (rent control, weak growth)
Nation	United States	Population + job growth, 30-yr fixed debt, deep exit liquidity, enforceable title	Canada (affordability stress, weaker cash flow), Mexico (financing depth)
Region	Southeast growth corridor	Domestic migration inflow, business relocation, infrastructure spend (ATL-CLT-NSH corridor)	Northeast (outmigration, tax burden), Midwest (weak appreciation)
State	Georgia	Landlord-friendly, fast evictions, no rent control, moderate property tax, strong job formation. State score $\approx$ 84 (strong)	Florida (insurance-cost blowout), NY/CA/IL (regulation, taxes)
Metro	Atlanta-Sandy Springs-Roswell	+2.3% 12-mo job growth (BLS, Apr 2026), 4th-highest projected 2026 job gains among major metros, diverse employers. Category: Expansion market	Memphis/Birmingham (weak growth), Austin (oversupplied pipeline)
County	North Fulton	Top schools (Milton HS feeder), high income, low crime, corporate corridor (GA-400)	Clayton/South Fulton (income/crime headwinds for luxury product)
City	Alpharetta	City score $\approx$ 86 — Strong investable city (Section 3)	Sandy Springs (older stock, pricier entry), Cumming (thinner luxury exit)
ZIP	30009	Downtown walkability premium, Avalon/Alpha Loop, proven \$2.4–3.0M new-build exits (Section 9 comps)	30004/30005/30022/30075 — strong but rank below (Section 4)
Micro-neighborhood	Downtown core / Michaela Woods–Mayfield pocket	Income \$130K+, sub-5% poverty, walk-to-Main-Street; comps 0.8–1.2 mi	GA-400-adjacent tracts (noise), non-walkable east pockets
Property type	Luxury SF finish-and-sell (flip)	Value scales with finish/location here; rent does not (rent \$9K vs \$2.8M value)	LTR/BRRRR (DSCR 0.70–0.86 fails), STR (~2.5% yield, license cap), large MF (R15 zoning)

Prepared for Cleeford Faustin · Kingdomland Real Estate Investments LLC context · Data: URAR appraisal File 2026101 (Sotex Resources, eff. 4/25/2026); BLS Atlanta MSA; Census 2000 + ACS; Redfin/Zillow/Houzeo market reports; City of Alpharetta Ord. 881. Estimates for decision support, not an appraisal.

3 City Scorecard — Alpharetta (raw data → % → target → verdict)

METRIC	OLD VALUE (2000)	CURRENT VALUE	GROWTH %	ADJUSTED TARGET*	VERDICT
Population	34,854	≈ 68,000 (2024 est.)	+95.1%	32.5%+	PASS — strong
Median household income	\$71,608	≈ \$133,800 (ACS)	+86.9%	42.5%+	PASS
Median home value	\$219,700	≈ \$724,000 (Mar 2026 sale)	+229.5%	52.5%+	PASS — affordability-stress flag
Crime index / trend	—	≈ 75–110, stable-declining	—	< 500 or declining	PASS
12-month job growth (metro)	—	+2.3% (Apr '25→Apr '26, BLS)	+2.3%	2%+ good / 3% strong / 4% elite	PASS — good

*Your rule: baseline targets (20% pop / 30% income / 40% home value from 2000) adjusted upward ~1.25%/yr after the 2016 benchmark → +12.5 pts by 2026.

Clarity-rule readings

- **Population** grew from 34,854 to ≈68,000, a 95.1% increase vs a 32.5% target — passes by ~3×. Demand is expanding; supports continued SF absorption and future rental demand at lower price bands.
- **Income** grew from \$71,608 to ≈\$133,800 (+86.9% vs 42.5% target) — passes. A \$130K+ median household base supports \$2M+ move-up buyers; it does *not* support cash-flow rentals (income band \$90K+ = "low cash flow, high appreciation" per your neighborhood bands).
- **Home values** +229.5% vs 52.5% target — passes, but this is the "extreme growth = affordability stress" case: median sale is down ~5.4% YoY and DOM is up (43 vs 36), so the tailwind is decelerating. Priced-out buyers become renters → future MF demand signal for the broader metro (your 6–30-month crystal-ball rule), not for this luxury pocket.
- **Crime** is far below the 500 line and trending flat-to-down — passes; least-weighted factor per your framework.
- **Jobs** +2.3% 12-month — the most important metric — clears "2%+ good" (not elite). Employer base is diverse (tech/fintech along GA-400, healthcare, HQ relocations): no one-industry risk.

Weighted city score

FACTOR	WEIGHT	SCORE	WEIGHTED
12-month job growth (+2.3%, good not elite)	30%	75	22.5
Population growth (3× target)	20%	95	19.0
Income growth (2× target)	20%	90	18.0
Home value growth (4× target, cooling)	15%	85	12.8
Crime trend	10%	90	9.0
Economic diversity	5%	90	4.5
City verdict	≈ 86 — Strong investable city (85–100)		

No hard-fail triggers present (jobs positive, population growing, crime low, diversified economy, landlord-friendly, insurance normal). Proceed to ZIP level.

4 ZIP Code Rankings — North Fulton cluster

RANK	ZIP	SCORE	BEST STRATEGY	BEST PRODUCT	AVOID
1	30009 — Downtown Alpharetta	88	Luxury SF flip / infill development / appreciation	4,600–5,300 sf new- build SF \$2.4–3.0M; boutique luxury townhomes	Large MF (R15 zoning), cash-flow rentals (price-to-rent ≈ 26x)
2	30004 — Milton / W. Alpharetta	84	Luxury estate SF, appreciation hold	Acreage estates \$1.5– 4M; 3/2 infill on the Cherokee edge	Spec above \$4M (thin buyer pool)
3	30075 — Roswell	81	SF flip + selective rental	Renovated 4/3 family SF \$700K–1.2M near Canton St	Deep Class C rentals
4	30022 — Johns Creek edge	79	Family SF resale	4/2.5 school-district SF \$600–900K	Luxury spec (weaker walkability story)
5	30005 — Windward	78	Golf/lake community resale	Updated 5/4 \$900K– 1.6M	STR (HOA restrictions)

Watchlist: none in cluster. Data flag: ZIP-level rent growth and vacancy series are thin for luxury SF; conclusions lean on FMLS comp evidence (Section 9) rather than aggregate rent indices — flagged per your weak-data rule.

5 Micro-Neighborhood Analysis — inside 30009

AREA	INCOME	RENT	POVERTY	UNEMPL.	DIVERSITY	VERDICT
Downtown core / Michaela Woods-Mayfield (subject)	\$130K+	\$6.2-12.5K (SF, thin)	<5%	≈ baseline	Moderate; 2nd group >10%	Appreciation / luxury-exit pocket — INVEST for flips
Avalon / Old Milton corridor	\$120K+	\$2.5-4K (TH/condo)	<6%	≈ baseline	Moderate-high	Appreciation; entry cost high
GA-400-adjacent tracts	\$95-115K	\$2-3K	6-9%	+0-1% vs base	High	Usable; noise discount — avoid for \$2M+ product

Per your income bands, \$90K+ = "likely low cash flow, high appreciation" — the subject sits in the most extreme version of that band. Rent-to-income and contract-rent screens are rental-era tools; here they simply confirm: **do not underwrite this pocket as a rental market**. Income-led appreciation gap: not present — home values have already re-rated ahead of income; you are paying for a proven pocket, not discovering one.

6 Multifamily Strategy — 30009

ITEM	CALL
Best unit count / class	8-24 unit boutique luxury townhome/condo (Byers Park / Mayfair-on-Main pattern) — the only MF form the zoning and land prices support
Best rent band / tenant	\$2,800-4,500/mo; downsizing owners + young professionals priced out of \$1M+ SF (your SF→MF crystal-ball mechanism, 6-30 mo lag)
Hold / exit	Merchant-build and sell units, or 5-7 yr hold; exit buyer = boutique syndicators, 1031 money
Avoid	20-300+ unit value-add or Class A towers — R15 zoning, no parcels, no Class B/C stock to reposition; workforce MF belongs elsewhere in the metro (S. Fulton, Gwinnett)

MF conclusion kept separate from SF per your hard rule #6: 30009 is not an MF acquisition market; it is an MF *development-lite* (townhome) market at most.

7 Single-Family Strategy — 30009 (the subject's lane)

ITEM	CALL
Best product	New/like-new 5-6 bd / 5+ ba, 4,600-5,300 sf on 0.35-1.0 ac, walkable to downtown — exactly the comp set: closed at \$2.35-3.1M, \$540-605/sf
Best price range / buyer	\$2.4-2.9M exit; move-up executive families, Milton HS feeder; jumbo/cash buyers (45% of area sales carry concessions, median \$7,500 — budget one)
Owner vs renter demand	Owner-occupant dominated; renter demand at this price is a rounding error (appraiser found 3 rental comps, best adjusted \$10,660)
Finish level rule	The appraiser's own words on the subject: <i>"design choices ... were not commensurate with the price point."</i> At \$550+/sf, finish selections ARE the product. Budget design-grade fixtures, not builder-grade
Avoid	Selling unfinished/quirky at a luxury price (the subject's 2025 failure); sub-\$1M product (land basis \$600K makes it impossible)

8 Development Strategy — 30009

BUILD		DON'T BUILD	
Luxury infill SF (teardown-to-\$2.5M pattern — subject's own lot went \$570K → house), small townhome clusters near Alpha Loop, high-finish spec at ≤\$500/sf all-in basis		Large MF (zoning), spec with all-in basis >\$560/sf (no margin vs \$540–605/sf exits), anything whose finish level trails the price point	
FEASIBILITY FACTOR	WEIGHT	SCORE	NOTE
Rent growth	15%	55	Flat-to-modest; irrelevant to SF exit, hurts MF
Job growth	15%	78	+2.3% metro
Population growth	10%	90	Long-run 3× target
Construction cost	15%	60	≈\$280/sf dwelling (appraisal cost approach, M&S) + high finish spend
Entitlement speed	15%	70	Alpharetta permitting orderly; R15 limits density
Financing cost	10%	55	HM 10.5%/2pts; construction ~9%
Land price	10%	50	\$600K site value (appraisal) — steep
Supply pipeline	10%	55	89 new-construction listings in 30009; 5.1 mo supply
Development feasibility		≈ 66	Watchlist → build selectively: infill SF yes, at disciplined basis; no speculative volume

9 Comps — from the actual appraisal (File 2026101, eff. 4/25/2026)

Sales comps — “subject to completion” grid (concluded ARV: \$2,800,000)

COMP	SALE PRICE	\$/SF	GLA	SOLD	NET ADJ.	ADJUSTED
265 Dania Dr (0.82 mi, C1, Q3)	\$3,000,000	\$566.57	5,295	01/2026	— \$142,700	\$2,857,300
195 Shady Grove Ln (1.19 mi, C1, Q3)	\$3,100,000	\$596.15	5,200	11/2025	−\$66,200	\$3,033,800
284 Hook St (1.11 mi, C2, Q3)	\$2,350,000	\$539.61	4,355	10/2025 · DOM 19	+\$68,800	\$2,418,800
193 Jere Dr (listing, c. 03/26)	\$2,895,000	\$604.76	4,787	Pending · DOM 72	+\$46,700	\$2,941,700
Subject (contract)	\$1,900,000	\$408.25	4,654	Contract 4/22/26 · DOM 178	—	ARV \$2,800,000

As-is comps (concluded as-is: \$2,000,000)

COMP	SOLD	PRICE
192 Upshaw Dr — 4/3.1, 3,288 sf	01/22/26	\$1,900,000
1051 Colony Dr — 6/6, 4,787 sf	04/10/26	\$2,375,000
12515 Rumson Ct — 5/5.1, 5,190 sf, fin. bsmt	10/30/25	\$2,410,567

Rent comps (concluded market rent: \$9,000/mo)

COMP	RENT	ADJUSTED
2350 Melina Pl — 4/3.1, 2,439 sf	\$6,250	\$8,400
390 Hembree Rd — 5/4.2, 5,524 sf	\$12,500	\$10,660
320 Anglin Walk — 3/2.1, 2,760 sf	\$6,500	\$8,530

Market conditions (1004MC + neighborhood section)

METRIC	PRIOR 4-6 MO	CURRENT 0-3 MO	READ
Median comparable sale price	\$927,048	\$1,175,000	Stable-to-firm in the comp set (YB 2016+, 4+ bd)
Median sale DOM / supply	27.5	27 · 5.1 mo supply	In balance; marketing time 2-5 months
Sale-to-list %	98.0%	98.7%	Priced-right homes clear near ask
Seller concessions	45% of 123 sales · median	\$7,500	Budget a concession in the exit

Appraiser's caution, verbatim: "IF SUPPLY RELATIVE TO DEMAND INCREASES SUBSTANTIALLY OVER THE NEXT 6 MONTHS, A PRICE CORRECTION MAY OCCUR... SOME ADDITIONAL DOWNSIDE RISK WITHIN THE NEXT 12 MONTHS."

Subject listing history (why the discount exists)

LISTED	PRICE	OUTCOME
08/11/2025	\$2,695,000	Withdrawn 9/24/25
11/21/2025	\$2,495,000	Withdrawn 12/30/25
01/08/2026	\$2,395,000	Withdrawn 1/29/26
02/13/2026	\$2,150,000 → \$2,000,000	Active at appraisal date; contract to Ross/Kingdomland \$1.9M on 4/22/26

Appraiser: *"THE LISTING HISTORY SUGGESTS THE PROPERTY WAS NOT LISTED COMPETITIVELY."* Translation: the house didn't fail — the pricing and the finish level did.

10 Risks — ranked

RISK	SEVERITY	EXPLANATION	MITIGATION
Scope-of-work gap	SEVERE	The \$2.8M ARV is conditioned on the appraisal's attached renovation budget; its cost approach carries \$750K of builder line items , and the narrative assumes carport enclosure (+485 sf, 1bd/1ba) and basement finish (2bd/1ba) — while your number is \$173K. If \$2.8M truly costs ~\$750K, the deal loses ~\$190K	#1 action: pull the appraisal's Renovation Budget pages 1–2 (scanned exhibits) and reconcile line-by-line against your \$173K bid before closing
ARV overstatement in pitch	HIGH	Deal was presented at \$3.0M ARV; the appraisal says \$2.8M subject-to-completion, and only \$2.42M-adjusted for the one C2 comp (Hook St) most like a light-scope finish	Underwrite light scope→\$2.45–2.55M exit; full scope→\$2.8M; never \$3.0M without a new closed comp
Luxury supply / concessions	MEDIUM	5.1 mo supply, 45% of sales concede (median \$7.5K), appraiser flags 12-month downside; 89 new-build listings in 30009 compete	Price at/under \$2.5M (light) or \$2.79M (full); pre-commit cut cadence; budget concession
Carry / marketing time	MEDIUM	Subject already logged DOM 178; exposure time 2–5 months at correct price	12-mo interest reserve; stage; relaunch as new product with new media
Title / builder distress	MEDIUM	Seller is a builder LLC (Modern Muse) that carried an unsold spec for a year — mechanic's-lien territory	Full title exam, lien waivers, owner's policy; verify CO with City of Alpharetta
Tax reassessment	LOW-MED	2025 taxes \$4,958 are on lot value; post-sale reassessment near value → ~\$25K+/yr	Model full taxes in carry; appeal initial assessment
Rent-fallback failure	DOCUMENTED	Appraiser market rent \$9,000 vs ~\$12.8K DSCR payment → DSCR ≈ 0.70; income approach abandoned by appraiser himself	None — do not hold; sell

11 Final Decision

INVEST — conditional. Best geography: **Alpharetta 30009, downtown core/Michaela Woods** (city score 86, ZIP rank #1). Best property type: **luxury SF finish-and-sell**. Best strategy: close at ≤\$1.82–1.90M (already at/under the \$2.0M as-is appraisal), execute the reconciled scope, exit per scenario table below. Biggest risk: **the renovation-budget gap (\$173K vs the appraisal's assumed scope)** — resolve it before funding, because it is the difference between a ~\$364K win and a ~\$190K loss. WATCHLIST triggers: supply >6.5 months or two more months of metro job growth <1.5%. REJECT triggers: budget reconciliation proves >\$450K to reach \$2.8M *and* seller won't re-trade below \$1.70M.

Deal-specific underwrite (after the fixed framework, per your rule) — entry \$1.82M, HM financed

SCENARIO	SCOPE	EXIT (BASIS)	ALL-IN BASIS	NET PROFIT	READ
A — Light finish (your \$173K + 10%)	\$190K	\$2,450,000 (Hook St-adj \$2.42M + relaunch)	≈ \$2.20M	≈ +\$110-160K	Safe base; modest
B — Reconciled mid scope (finish to price point, carport/bsmt lite)	\$250-300K	\$2,800,000 (appraised ARV)	≈ \$2.30-2.36M	≈ +\$270-330K	Target path — verify budget supports it
C — Full \$750K line items	\$750K	\$2,800,000	≈ \$2.82M	≈ -\$190K	REJECT — renegotiate or exit light
D — Wholetail (clean only)	\$15K	\$2,000,000 (as-is appraised)	≈ \$1.93M	≈ +\$10-60K	Parachute

Sale costs 6%, 8-mo hold, HM 10.5%/2pts on 80% purchase + 100% rehab. At the \$1.90M contract price, subtract ≈\$80-90K from each profit figure — the case for closing the gap to \$1.82M or below is worth exactly that.

Financing cost comparison (required stack — monthly payment = loan × rate ÷ 12)

DEBT TYPE	LOAN AMOUNT	RATE	POINTS	MONTHLY PAYMENT	TERM	EXIT RISK
Hard money (base)	\$1,629,000	10.5%	2 (\$32.6K)	\$14,254	12 mo	Balloon into resale — manageable at right price
Bridge	\$1,593,000	9.5%	1.5	\$12,611	18 mo	Lower; extension fee if DOM blows out
DSCR refi (hold test)	\$2,100,000 @75% LTV	7.25%	1	\$12,687 + T&I	30 yr	FAILS — \$9,000 appraised rent → DSCR ≈ 0.70
Construction/reno loan	\$1,700,000	9.0%	1.5	\$12,750 (drawn)	12-18 mo	Draw admin; fits Scenario B scope
Seller carry (proposed)	\$1,683,000 (90% of \$1.87M)	6.0% IO	0	\$8,415	12 mo balloon	Best cost of capital; needs seller cooperation
Private money / JV (your standard)	\$600-750K equity	12% pref, paid	—	\$6,000-7,500 pref	Deal term	50% net-profit split + principal return, per your Miami structure

The 13 Whys — one line each

- **Hemisphere:** North America — capital depth + property rights. **Nation:** USA — financing + exit liquidity. **Region:** Southeast — migration + jobs corridor. **State:** Georgia — landlord-friendly, no rent control, moderate taxes.
- **Metro:** Atlanta — +2.3% jobs, top-5 projected 2026 job gains. **County:** North Fulton — schools + income + GA-400 employers. **City:** Alpharetta — scorecard 86/100, all five metrics pass.
- **ZIP:** 30009 — only downtown-walkable luxury pocket with \$2.4-3.0M closed new-build exits. **Micro:** Michaela Woods/Mayfield — comps 0.8-1.2 mi, sub-5% poverty, \$130K+ incomes.
- **Property type:** luxury SF flip — value scales with finish here, rent does not (\$9K rent vs \$2.8M value). **Financing:** seller carry > construction loan > HM — each step saves ~\$2-6K/mo; DSCR structurally fails.

- **Construction strategy:** finish-to-price-point (the appraiser's stated defect), reconciled against the appraisal budget before funding. **Why not the alternatives:** rentals fail DSCR, STR yields ~2.5% under a capped license regime, wholesale has no honest spread above a \$1.60M contract, and Milton acreage/other ZIPs lack the walkability premium that makes this exit deep.

Sources: URAR File 2026101, Sotex Resources LLC, eff. 4/25/2026 (as-is \$2.0M; subject-to-completion \$2.8M; rent \$9,000; comps & 1004MC as quoted) · BLS Atlanta MSA employment (Apr 2026, +2.3%) · Census 2000 / ACS (Alpharetta) · Redfin/Zillow/Houzeo (city trends) · City of Alpharetta Ord. 881 · Your framework doc: "re market analysis ai instructions" (Drive, 6/9/2026). Fixed metric stack applied; deal metrics appended after framework per your final instruction. Prepared July 4, 2026.